

Four ways to play 170 Michaela Drive — and the one that survives the math

Every strategy below was underwritten with the same sourced inputs: mid-2026 financing, non-homestead taxes, real comps, and no assumed rate cuts. Two strategies work at the right basis, one is rejected on arithmetic, one is a negotiation fallback.

The verdict: offer \$1,750,000. Walk away above ~\$1,800,000.

Run **Strategy A** (staged resale) as the primary track with **Strategy B** (furnished executive lease into a spring 2027 exit) as the built-in fallback if not under contract by month four. At a \$1.75M basis the all-in cost is ~\$375/sqft against a \$420–470/sqft comp band — the profit is bought at acquisition, not hoped for at exit. At the current \$2.15M ask, no strategy clears a professional hurdle: the correct move at that price is to pass.

DEAL LIFECYCLE · FINANCING AT EVERY STAGE

How the deal is financed from entry to exit

STAGE 1 · ACQUISITION

Private bridge loan

65% LTC at ~9.5% interest-only + 2 pts, 12-month term (Atlanta market: 9.5–10.2%). Close in 21 days — speed and certainty are the

STAGE 2 · OPERATION

Carry management

Taxes ~\$20K/yr (lagged assessment), insurance ~\$12K, utilities \$750/mo. Strategy B adds a furnished executive lease at

STAGE 3 · DISPOSITION

Retail sale — primary exit

Relist inside the comp band at \$430/sqft (~\$2.2M) where this submarket clears in 1–2.5 months. Exit buyer financing: jumbo at

negotiating currency
against a fatigued seller.

~\$8,500/mo to offset
~70% of carry.

~6.6%, a 7-week low —
affordability tailwind.

STAGE 3-ALT · REFINANCE

**Tested — and
rejected**

75% cash-out at 7.75%
needs ~\$119K/yr of debt
service against ~\$41K
furnished NOI (0.34 DSCR).
The honest Plan B is a price
cut to the \$2.0–2.05M
comp floor, which the bear
case already prices in.

STRATEGY A · PRIMARY

RECOMMENDED — PRIMARY TRACK

Staged resale sprint

Hold 6–10 months · bridge 65% LTC · \$25K staging · equity ≈ \$780–810K

Buy the discount, fix the marketing. The house doesn't need work — it needs a price inside the comp band, professional staging, and a broker who isn't the builder. List at ~\$2.2M (\$430/sqft), directly on top of the 477 Michael Dr precedent that cleared in 55 days one street over.

SCENARIO (BUY AT \$1.75M)	EXIT	HOLD	EQUITY	PROFIT	ANNUA
Bear — comp floor, slow	\$2,050,000	10 mo	\$806,000	–\$32,000	
Base — mid-band	\$2,200,000	8 mo	\$782,000	+\$135,000	
Bull — spring 2027 premium	\$2,350,000	6 mo	\$757,000	+\$302,000	

BUILT-IN FALLBACK — ACTIVATES AT MONTH 4

Furnished executive carry → spring 2027 exit

Hold 10–14 months · bridge 65% LTC · \$50K furnishing · lease ~\$8,500/mo

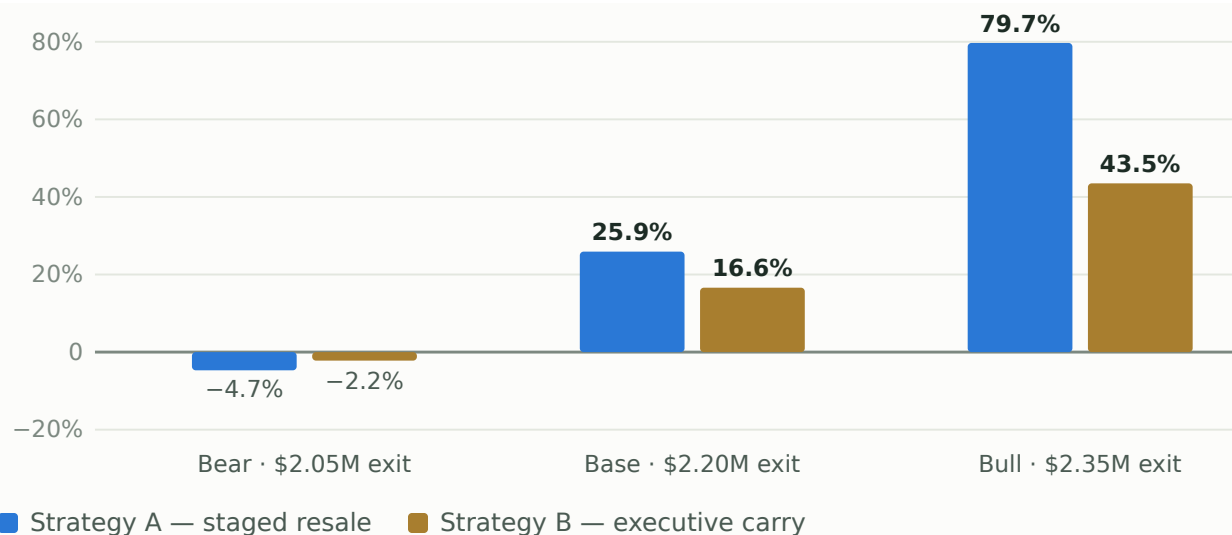
If the sprint doesn't produce a contract by month four, place a furnished executive tenant (relocation demand from Alpharetta's 2025–26 HQ moves; 575+ corporate units already absorb here) and re-launch the sale into the March–May 2027 selling season. Rent offsets roughly 70% of carry; furniture doubles as staging.

SCENARIO (BUY AT \$1.75M)	EXIT	HOLD	EQUITY	PROFIT	ANNUA
Bear — comp floor, slow	\$2,050,000	14 mo	\$795,000	−\$20,000	
Base — mid-band	\$2,200,000	12 mo	\$786,000	+\$131,000	
Bull — spring 2027 premium	\$2,350,000	10 mo	\$777,000	+\$282,000	

B trades a lower ceiling for a higher floor: the lease income cuts the bear-case loss by a third and buys time to reach the strongest listing season instead of selling into winter.

Annualized deal-level return by scenario — Strategy A vs. B at a \$1.75M basis

Deal-level ROE annualized; LP-level returns after the waterfall are in the pitch deck



STRATEGY C · REJECTED

REJECTED ON ARITHMETIC — SHOWN FOR DISCIPLINE

Buy, hold, refinance as a luxury rental

Tested at the \$2.15M ask with mid-2026 DSCR terms

The rental math fails before strategy even enters the room. Market rent of ~\$6,500/mo produces roughly \$27K of NOI after non-homestead taxes (\$27K), insurance (\$12K), management, and reserves — a **1.24% cap rate**. No coverage-based lender funds this:

LTV	LOAN	DEBT SERVICE (7.25% IO)	DSCR	LENDER FLOOR
60%	\$1,290,000	\$93,525	0.29	1.00-1.25
70%	\$1,505,000	\$109,113	0.25	1.00-1.25
75%	\$1,612,500	\$116,906	0.23	1.00-1.25

The refi contingency fails the same test (0.34 DSCR furnished). This asset's value is a sale to an owner-occupant who prices schools and walkability — not an income stream. Rejecting this openly is what protects investor capital from a "we'll just rent it out" fallback that doesn't exist.

STRATEGY D · NEGOTIATION FALLBACK

DEPLOY ONLY IF THE SELLER WON'T MOVE ON PRICE

Creative structure: lease-option or seller carry

Trades our price for the seller's terms — costs almost no capital to propose

The builder is likely paying 9–13% on a construction loan. If they refuse \$1.75M cash, offer terms that solve *their* carry problem while capping our basis:

- **Lease-option:** 24-month option at a \$1.85M strike; ~\$8,500/mo lease with \$1,500/mo credited toward purchase. We control the asset for ~\$25K of option money instead of ~\$800K of equity, and exercise only if the spring market confirms the exit.
- **Seller carry:** \$1.90M price with the builder holding a 75% note at 5–6% interest-only for 18 months. The above-market price is financed below our bridge cost, roughly offsetting itself; the builder converts dead carry into interest income.

These are presented as negotiation instruments, not the plan of record — returns depend on final terms and are bounded by the same comp band as Strategies A and B.

PRICE DISCIPLINE

Sensitivity: the whole deal is the purchase price

Annualized deal-level returns across purchase price and exit. The maximum allowable offer at an 18% hurdle is **\$1.74M**; at 15%, **\$1.76M**. Above ~\$1.80M the base case goes single-digit and the bear case turns seriously negative — the deal stops being professional.

STRATEGY A — ANNUALIZED ROE	BEAR \$2.05M	BASE \$2.20M	BULL \$2.35M
Buy \$1,750,000 (offer)	−4.7%	+25.9%	+79.7%
Buy \$1,825,000 (walk-away zone)	−16.1%	+10.2%	+56.5%
Buy \$1,950,000	−33.2%	−13.6%	+21.6%

STRATEGY B — ANNUALIZED ROE	BEAR \$2.05M	BASE \$2.20M	BULL \$2.35M
Buy \$1,750,000 (offer)	−2.2%	+16.6%	+43.5%
Buy \$1,825,000 (walk-away zone)	−10.6%	+6.0%	+29.8%
Buy \$1,950,000	−23.2%	−9.9%	+9.2%

RISK REGISTER

What can go wrong, and what we've done about it

RISK	MITIGANT
Exit below the comp band	Bear case is fully modeled at the \$2.05M floor; basis of ~\$375/sqft all-in sits 11–20% below every 2024–25 new-construction print
Extended days on market	Dual-track plan: staged sprint converts to leased carry at month 4; furnished lease covers ~70% of carry indefinitely
Rate rise (Fed dot plot tilts hawkish)	No rate cuts underwritten; exit buyer modeled at today's 6.6% jumbo; bridge is fixed-rate for the term
Tax reassessment to ~\$27K/yr	Assessment lags a sale by ~a season; sensitivity is ±\$7K on a 12-month hold — immaterial to the decision
Single-asset concentration & illiquidity	Disclosed plainly: this is one house, capital is committed for 6–14 months, and the GP co-invest takes first loss
Subject's condition/status unverified	Offer contingent on inspection, appraisal, clear title, and FMLS verification of current listing status and price

Underwriting model and all formulas: **underwriting_model.py** and **underwriting.xlsx** in this package. Market inputs and sources: the Market Breakdown document. Figures are estimates for discussion, not guarantees of performance. This document is not an offer to sell securities.